

GOLD CREEK ESTATES v. VALLEY SPRINGS GOLD CREEK

17CV42103 (Related to 20CV44819)

DEFENDANTS' MOTION FOR SUMMARY ADJUDICATION

This is a construction defect case. Before the Court is a defense motion for summary adjudication. Defendants generally contend that plaintiff's claims are time-barred. Despite the mountain of papers filed, the issues herein are fairly basic.

Pertinent Background

In or about 1986, the Board of Supervisors approved a tentative map for the development of a 385-home master-planned gated residential community off Highway 26 in Valley Springs, CA. Phase 1 was to include 130 homes along Cosgrove Creek, as well as the common area with a clubhouse, tennis courts and a swimming pool. Phase 2 was to include 82 additional homes. Phase 3 was to include another 171 homes. Eventually Phases 1 and 2 were combined into a single Phase, but with designations Unit 1 and Unit 2.

In 1997, Ryan Voorhees incorporated CRV Enterprises (hereinafter "CRV") for the stated purpose of engaging in real estate development (see Statement of Information). Ryan was identified in later filings as the President, CEO, CFO and agent for service of process.

In 2002, CRV acquired the rights to develop the aforementioned residential project.

In 2003, Ryan Voorhees incorporated Valley Springs Gold Creek, Inc. (hereinafter "VSGC"), for the stated purpose of home building (see Statement of Information). Ryan was identified in later filings as the President, CEO, CFO and agent for service of process.

On 04/15/03, CRV transferred via grant deed its rights and title in the project to Ryan Voorhees individually, who then transferred everything to VSGC.

In 2004, Ryan Voorhees incorporated Gold Creek Estates Owners Association for the purpose of managing a common interest development. Later that same year he incorporated Old Golden Oaks, LLC, for the purpose of real estate development. Ryan is listed as the sole member of the LLC (which eventually came to develop Phase 3 of the development).

On 02/17/06, Ryan – on behalf of VSGC – caused to be recorded a Notice of Completion.

On 02/22/06, Ryan – on behalf of VSGC – caused to be recorded a Grant and Transfer of Water and Wastewater Systems to the Calaveras County Water District. The filing included a copy of CCWD's Certificate of Acceptance for Phase 1, Unit 2.

In a letter dated 08/13/07, to Ryan/VSGC, the Calaveras County Water District confirmed that "the installation of the water and wastewater facilities for the Gold Creek Estates was nearing completion," but Ryan was still responsible for punch list items, securing necessary easements, and completing a final inspection and walk-through.

In 2010, Ryan dissolved CRV.

In 2018, Ryan dissolved VSGC. That same year, Ryan incorporated Gold Creek Homes & Development LLC, separately in Nevada and Texas (the latter later terminated). Also that same year, Ryan incorporated Gold Creek Homes & Development dba Gold Creek Homes & Development LLC, in Texas. This entity is active.

Summary Adjudication

The operative pleading herein is the Fourth Amended Complaint, filed 06/09/22. That pleading now includes the following causes of action:

- 1st COA: Violation of the Right to Repair Act
- 3rd COA: Breach of Written Contract
- 4th COA: Fraud (concealment)
- 5th COA: Negligence (nondisclosure)
- 6th COA: Fraud (misrepresentation)

Defendants have moved for summary adjudication on each claim, contending that each cause of action is time-barred by Civil Code §§ 337(a), 337.15, and/or 941. Defendants separately ask this Court to summarily adjudicate as time-barred fifty-five (55) *specific parcels* within the Gold Creek Estates community because those homes were actually sold more than 10 years prior (suggesting that a homeowner buying into a common interest development is not entitled to enjoy future common areas). Defendants' invitation to carve up the causes of action for homes sold during the first phase of development is unwarranted since the issues relate to common areas that all members have a right to enjoy. As a result, the primary right as pursued by the HOA for all residents is plainly indivisible. (See, e.g., *Blue Mountain Enterprises, LLC v. Owen* (2022) 74 Cal.App.5th 537, 549-550; *Hindin v. Rust* (2004) 118 Cal.App.4th 1247, 1257; *Catalano v. Superior Court* (2000) 82 Cal.App.4th 91, 96-97; *Hood v. Superior Court* (1995) 33 Cal.App.4th 319, 323-324.) As it turns out, the inability to carve up causes of

action based on peculiar member interests inures to defendants' benefit on the breach of contract cause of action.

➤ Evidentiary Objections

On a motion for summary judgment, the trial court must consider all of the evidence submitted by the parties except that to which objections have been made and sustained. (*Hernandez v. Hillside, Inc.* (2009) 47 Cal.4th 272, 281.) A party who wishes to exclude evidence from consideration must "quote or set forth the objectionable statement or material [and] state the grounds for each objection to that statement." (CRC 3.1354(b).) It is incumbent upon the party objecting to make clear the specific ground of the objection, and not rely on boilerplate generalities. (See *Cole v. Town of Los Gatos* (2012) 205 Cal.App.4th 749, 764.) Assuming objections are made in the proper format, the trial court need only rule on those evidentiary objections that it deems material to the disposition of the motion. (CCP §437c(q).) In this instance, only defendants filed formal objections (a total of 35). Several of those objections appear to be lodged for less than meritorious reasons. For example, defendants take issue with how the 08/13/07 letter was presented, and yet Ryan himself refers to the letter. Other objections relate to all the evidence of Ryan defrauding people by cutting corners here and there. These would be "irrelevant" had the motion stayed true to limitations/repose, but since defendants themselves argued in the reply papers that the evidence of willfulness and concealment were inadequate, Ryan's history of wrongdoing (objections 2-8 and 26-33) became relevant. Defendants' objections to the Lewandowski declarations are really directed at the weight to be afforded his opinions rather than the admissibility of those opinions as those opinions are not "irrelevant" given that defendants are claiming they substantially completed the improvement work based largely on inferences. The balance of the objections are simply immaterial and thus irrelevant to the current analysis and are therefore overruled in the context of this ruling.

➤ Breach of Contract

The scope of the breach of contract cause of action is arguably uncertain, given the general references to a variety of different documents which purportedly bind defendants to perform services in a particular fashion. It is not clear if this cause of action includes claims actually belonging directly to the HOA (Civil Code §5980), or if this is entirely representative of individual members. Since defendants do not challenge standing, it may not matter; however, it is worth noting that representative standing requires a certain degree of commonality that is not immediately apparent in the context of a contract (or even fraud) claim, and certainly can be argued that contract (and fraud) claims are private, unique, and impact members differently. (See, e.g., *United Farmers Agents Assn. v. Farmers Group* (2019) 32 Cal.App.5th 478, 491; *Market Lofts Community Assn. v. 9th Street Market Lofts, LLC* (2014) 222 Cal.App.4th 924, 932; *Property Owners of Whispering Palms v. Newport Pacific, Inc.* (2005) 132 Cal.App.4th 666, 673; *Raven's Cove Townhomes, Inc. v. Knappe Development Co.* (1981) 114 Cal.App.3d 783, 795.)

When the HOA represents all individual members in a representative capacity, and the members acquiescence thereto, everyone must stand in the same shoes. This is important because some homeowners – and by extension the HOA – were actually suspicious of breach as far back as February of 2011 (more than five years before the action was commenced) when the HOA Board authorized the Civil Code §6000 *Anderson* letter. This letter was prepared by a law firm and sent to the Voorhees defendants via certified mail on 03/02/11. The letter began, in bold, that it was a *Notice of Commencement of Legal Proceedings* under the Right to Repair Act and other statutes. It described drainage and hardscape issues involving Lots 50-74 and A-C. The letter hinted at invasive testing and further evaluation. Although the letter stated it was a “settlement communication” – and §6000(l) provides that “all defect lists and demands, communications, negotiations, and settlement offers made in the course of the prelitigation dispute resolution process provided by this section shall be inadmissible” – the letter cannot serve as both a statutorily-required prefiling notice to commence prelitigation efforts *and* a privileged communication. (See Civil Code §934 and Evidence Code §1122(a)(3).) Furthermore, the key evidence is provided by witnesses, not the writing itself. (See Buecher and Voorhees declarations.)

Although the “fix” was suspect (digging a trench to redirect water), a breach of contract action must be commenced within four years of when the claimant suffers an actionable wrong as a result of a breach. The *Anderson* letter disclosed plaintiff’s suspicion of wrongdoing and actionable harm associated therewith. Any claim associated with drainage issues would have accrued at that time. This claim was commenced late.

Plaintiff’s reliance on *Creekridge Townhome Owners Assn., Inc. v. C. Scott Whitten, Inc.* (2009) 177 Cal.App.4th 251, is unavailing since in that case an isolated report by a single member was insufficient to bind the entire HOA/community. The case at bar is just the opposite of *Creekridge*, and far more similar to *Landale–Cameron Court, Inc. v. Ahonen* (2007) 155 Cal.App.4th 1401, 1404-1405. Although the *Anderson* letter involved only a small section of the common areas, this is precisely why the members run a risk when they authorize the HOA to run a representative action on their behalf – if some are barred, all are barred. **Defendants are entitled to summary adjudication in their favor on the third cause of action for breach of contract.**

➤ Right to Repair

Pursuant to Civil Code §941(a), “no action may be brought to recover under this title more than 10 years after substantial completion of the improvement but not later than the date of recordation of a valid notice of completion.” This is a statute of repose, codifying a Legislative intent to provide contractors with peace of mind knowing there is a firm date after which they cannot be sued. The 10-year window to file does not apply to developers who remain in actual possession of, or control over, the subject improvement. (Civil Code §941(c).) In addition, the 10-year period can be tolled for up to 100 days after alternative dispute resolution efforts are exhausted. (See Civil Code §927.) Both sides agree that plaintiff’s service of a “Right to Repair” notice on 05/26/16

was effective to serve as mark (Civil Code §910(a)) for this claim. Thus, the question is whether the Voorhees Defendants had substantially completed, or recorded a valid notice of completion for, the “improvement” at issue prior to 05/26/06.

Applying §941(a) to any fact pattern requires a determination of (1) what is “the improvement” to which the time-period applies, (2) what constitutes substantial completion thereof, and (3) what is required for a notice of completion of that improvement to be “valid.”

What is meant by the term “improvement”? Although the term is supposed to be interpreted broadly to give contractors their needed peace of mind, the term is not defined within the Right to Repair Act but is defined in a few other statutes. (See, e.g., Civil Code §§ 8042, 8050; Govt. Code §66419(a).) Caselaw defining “the improvement” stems mostly from the original construction defect statutes (namely Civil Code §337.15), which is not exactly apples to apples since §337.15 ties the 10-year filing window to “the performance or furnishing design, specifications, surveying, planning, supervision, testing, observation of construction or construction services by each profession or trade rendering services to the improvement,” which implies that “the improvement” is the entire project but that a discrete 10-year filing window applies for each separate sub-contractor. As explained by the Court of Appeal in *Estuary Owners Association v. Shell Oil Company* (2017) 13 Cal.App.5th 899 (at 913): “The critical point is completion of the improvement, or aspect of the improvement, for which a given defendant is responsible. The period of repose commences when the specific improvement alleged to be defective is substantially complete even if it is part of a larger development that is completed later, and, as to a particular subcontractor, upon completion of that subcontractor's work, not the total development of which it is part.” (See, e.g., *Nelson v. Gorian & Associates, Inc.* (1998) 61 Cal.App.4th 93, 97-99 [10-year filing window for claims against developer triggered after completing grading work since developer was only selling vacant buildable lots]; *A&B Painting & Drywall, Inc. v. Superior Court* (1994) 25 Cal.App.4th 349, 356-357 [10-year filing window for claims against sub-contractor triggered after sub-contractor completed work, despite additional corrective work thereafter]; *Liptak v. Diane Apartments, Inc.* (1980) 109 Cal.App.3d 762, 772-773 [10-year filing window is triggered differently depending on whether defendant is sub-contractor versus the overall developer].)

Although defining “the improvement” is fairly easy when the issue involves performance by a sub-contractor with a precise scope of work, defining “the improvement” is challenging when it is the developer asking for the benefit of repose over discrete portions of the overall project, even though the developer has not left the site. Voorhees was not selling vacant buildable lots (*Nelson*) or doing specific sub-contract work (*A&B Painting, Liptak*). When the Voorhees defendants secured the rights to develop Good Creek Estates, it was to produce a completed community with homes available for sale directly to the end-use consumer and common areas available for the enjoyment of all the residents – not to simply build out a competent wastewater system. In the end, it is not absolutely critical to this motion to determine if the wastewater work

should be carved out for its own separate 10-year filing window because there are triable issues of fact as to (1) whether Voorhees substantially completed that work prior to 05/26/06, and (2) whether the 02/17/06 notice of completion was valid.

The date of substantial completion is an objective fact about the state of construction of the improvement, to be determined by the trier of fact based on competent evidence concerning the actual state of construction of the improvement. (See *Hensel Phelps Construction Co. v. Superior Court* (2020) 44 Cal.App.5th 595, 613-614; in accord, *State Farm General Insurance Company v. Oetiker, Inc.* (2020) 58 Cal.App.5th 940, 954.) Defendants contend that the water and wastewater system was substantially complete in or around February of 2006 – which corresponds to when VSGC recorded a Notice of Completion, delivered the water and wastewater systems to CCWD, and received CCWD's certificate of Acceptance. However, on the other hand, CCWD sent a letter to defendants in August of 2007, identifying additional work needed for the water and wastewater facilities, including punch list items, securing necessary easements, and completing a final inspection. This letter alone is strong evidence that the improvement was not substantially completed. (In accord, Civil Code §337.15(g).) Although the defense expert (Stout) opines that defendants could not have completed Unit 2 without first completing Unit 1, and that CCWD would not have accepted the wastewater system without the entire infrastructure being completed, plaintiff's expert (Lewandowski) points out that those opinions are devoid of any foundational truth, and further points out that Unit 1 has no storm drain system at all, Unit 1 was in fact completed after Unit 2, the golf cart path is missing needed curbs, the drainage system near Gold King Drive is defective, and completion of that portion of the wastewater system for unit 2 bears no relationship at all to the balance of the infrastructure. While it appears to this Court that plaintiff may well have the better of the argument, that is a factual matter and the jury will have to make that determination.

The same evidence defendants rely upon to show substantial compliance also permits a finding that the improvement was complete. (See Civil Code §8180; in accord, *Schwetz v. Minnerly* (1990) 220 Cal.App.3d 296, 302 [10-year window triggered when notice of completion filed for first building, even though several more phases anticipated].) However, §941(a) specifically calls for a "valid" notice of completion. The concept of validity is not elaborated upon in the Legislative history of §941, but it requires no meaningful stretch to surmise that the Legislature was aware of, and concerned with, contractors filing such notices prematurely in an effort to short-cut the work. (See, e.g., *Fontana Paving, Inc. v. Hedley Brothers, Inc.* (1995) 38 Cal.App.4th 146, 154-156.) Thus, reference is made to Civil Code §8182, addressing the requirements for such notices, including: (1) the name and address of the owner, contractor and construction lender; (2) a description of the site; (3) proof of delivery/posting to the HOA; (4) date of completion and (5) a general statement of the work provided pursuant to sub-contracts. (*Id.*; see also Civil Code §§ 8102, 8106, 8119.) The Notice of Completion here specifically relates to Unit 2, not Unit 1. The transfer to CCWD also involves only Unit 2. Finally, CCWD's acceptance pertains only to Unit 2, and only to the water and

wastewater facilities and associated easements. Nothing about that acceptance even hints at other aspects of the infrastructure.

It is plain to this Court that triable issues of fact permeate the question of whether the statute of repose lapsed. There are triable issues of fact regarding the scope of the “improvement” attributable to moving parties, and whether any material portion of the project was completed more than 10 years prior to filing. Since §941 is designed to give a contractor who leaves a project peace of mind to know that the clock will start running, the statute hardly applies to defendants here who stuck around long after the initial wastewater infrastructure subpart was finished. In fact, Voorhees and his entities remained involved with the Gold Creek Estates development project until just recently. Based on the aforementioned findings, it is not necessary for this Court to make any findings regarding the “exception” to the 10-year filing window during the time that the Voorhees defendants continued to possession/control parts of the common areas after the CCWD acceptance of the wastewater facility. **Summary adjudication is DENIED as to the first cause of action.**

➤ Tort Claims (4th, 5th 6th)

Defendants first contend that the time period for filing the three “fraud” claims is controlled by Civil Code §941(a) based upon the “gravamen” test. As this Court already observed (when overruling a demurrer), the Right to Repair Act does not displace “any action for fraud, personal injury, or violation of a statute.” (Civil Code §943.) The California Supreme Court has made plain that the Right to Repair Act “leaves the common law undisturbed in some areas, expressly preserving actions for breach of contract, fraud, and personal injury.” (*McMillin Albany LLC v. Superior Court* (2018) 4 Cal.5th 241, 249; *State Farm General Ins. Co. v. Oetiker, Inc.* (2020) 58 Cal.App.5th 940, 952-953; *Kohler Co. v. Superior Court* (2018) 29 Cal.App.5th 55, 71-72.) These are not part of the Act because the Act was designed solely to permit lawsuits when there is only property loss (abrogating *Aas v. Superior Court* (2000) 24 Cal.4th 627). Tort claims already had their own basis for damages, and did not require the Act for redress. Of course, if the statute of repose in §941 did apply to these causes of action, the same triable issues would apply.

Defendants next contend that the time period for filing the three “fraud” claims is controlled by Civil Code §337.15. Our Supreme Court also has made plain that the 10-year repose in §337.15 “does not apply to suits based on willful misconduct or fraudulent concealment.” (*Lantzy v. Centex Homes* (2003) 31 Cal.4th 363, 373.) Two years later, the Court of Appeal doubled down on the willful misconduct aspect, holding that “defendants may not successfully assert the 10–year limitations period set out in section 337.15 as a defense if the trier of fact determines that (1) there was willful misconduct involved in the construction of plaintiffs' homes, (2) such willful misconduct resulted in the alleged latent construction defects and (3) such willful misconduct was committed by the defendants.” (*Acosta v. Glenfed Development Corp.* (2005) 128 Cal.App.4th 1278, 1286.) Based on these holdings, it should be clear that claims

alleging concealment, misrepresentation and nondisclosure (all forms of fraud) are not subject to the outside 10-year statute of repose. (See Civil Code §337.15(f).) Even if they were, this Court has already identified triable issues left to resolve regarding “substantial completion of the development or improvement” (§337.15(a)) for many of the same reasons impacting the first cause of action (see §337.15(g)). (Defendants contend that the exception only applies to “concealment” as distinguished from nondisclosure or misrepresentation. There is no Legislative history supporting a conclusion that the statutory reference to “concealment” was purposefully designed to exclude fraud-based claims for failing to disclose or disclosing inaccurately. There is little logic for treating these forms of fraud differently, given that the idea is to remove a reward to the contractor. Regardless, that issue need not be resolved at this time.)

In their reply papers, defendants assert (for the first time) that the “fraud” claims are not adequately supported since there is no evidence to show that the Voorhees defendants had any reason to suspect the allegedly defective work performed by them and their selected sub-contractors was defective at the time. There is a fair bit of evidence showing that the Voorhees defendants took a myriad of “short-cuts” but fraud is a tall order here. Nevertheless, defendants’ motion was not based on a substantive failure to support the claims, and it is too late in the day to put that issue on this table. (See CCP §1010; CRC 3.1110(a); *Kinda v. Carpenter* (2016) 247 Cal.App.4th 1268, 1277; *Carbajal v. CWPSC, Inc.* (2016) 245 Cal.App.4th 227, 241; *Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1537-1538.) The question of factual adequacy is not relevant to the question of timeliness of the claim, and since plaintiff describes the construction defects as willful and a species of fraud, that is sufficient for present purposes. **Defendants’ motion for summary adjudication is DENIED as to the 4th, 5th, and 6th causes of action.**

The Clerk shall provide notice of this Ruling to the parties forthwith. Moving defendants are ordered to serve and file a proposed order consistent with CRC 3.1150 and this Ruling.